

BRIDGFUNDER LONDON

The Property Starter Handbook

The first-deal map: deposit maths, buy-to-let vs bridging, auction speed, and the checklist that separates winners from hoppers.

2026 Edition • Free

What the first deal really costs

Most first-timers over-estimate the deposit problem and under-estimate everything else. The full stack:

Deposit

Typically 20-35% for buy-to-let, 25-35%+ for refurbishment or auction deals. Lenders lend on the LOWER of purchase price or market value — run numbers on the worst of the two.

Stamp duty

Second-property surcharge adds 3-5% on top of normal rates, on properties above £40k. Budget it before you fall in love with a deal.

Legal, valuation, survey

Conveyancing plus lender fees: budget £2,000-£4,000 depending on value and lender. Auction purchases need a solicitor who knows the pack.

The work itself

If the property needs refurbishment, price it from a real schedule of works — and add 15% for surprises. This is the number that kills unprepared deals.

Buy-to-let vs bridging

Two tools, two jobs. Choosing wrong is expensive; choosing right is the whole trick.

BUY-TO-LET

The steady route. Best when the property works as a rental on day one.

- Cheapest long-term money
- Lenders check rent covers the stress-tested payment
- First-timers approved daily when the deal stacks up
- Slower: 4-8 weeks typical

BRIDGING

The fast route. Short-term loan secured on the property, repaid by sale, refinance or other funds.

- Days, not weeks — the auction tool
- Higher monthly cost: you pay for speed
- Perfect for refurb + refinance plays

Note: bridging on a home you live in is regulated and different.

This guide covers investment property only. Rates vary by deal and lender.

Buying at auction

Auctions reward the prepared — and punish everyone else. Completion is typically 10 working days from the hammer; miss it and you lose the deposit.

- Funding agreed in principle BEFORE you bid — speed is a weapon.
- Solicitor appointed who reads auction packs for a living.
- Survey and local checks done on target lots before auction day.
- A ceiling price written down — and kept.
- Deposit (usually 10%) ready to move the same day.

The 10-day clock

Hammer → deposit → completion in 10 working days. Your funding line must be ready on day 0, not day 1.

What lenders look at

- The deal: purchase price, real value, and the plan (rent, refurb, refinance).
- The exit: how the loan is repaid — sale, remortgage, or rental income. Agreed before the offer.
- You: income, credit history, other commitments — and whether the numbers survive a bad month.
- The property: condition, location, and whether the work is priced honestly.

Specialist lenders fund first-time landlords every day. What they will not fund is a vague plan. One sentence each — the deal, the exit, the numbers — puts you in the top half of applicants.

Talk it through first — it costs nothing

A 10-minute funding read before you bid is the cheapest insurance in property.

Before you commit

- Worst-case valuation, best-case costs — stress-test both.
- Exit plan agreed before the offer, not after the hammer.
- Deposit + stamp duty + fees + work = real number in the bank.
- Legal and survey done first; auctions do not wait.
- Funding line agreed in principle — in writing.
- Refurbishment quotes from real trades, plus 15% buffer.
- Monthly payment covered even at reduced rent, in the slow months.

Ticks all seven? Bid with confidence.

That is the difference between auction buyers who win and buyers who hope.

Creative capital for developers and landlords

BridgFunder London is a credit broker with whole-of-market access to 300+ specialist lenders — including the auction-speed end of the market. 10-day completions are our home ground. We compare the whole panel, put the numbers side by side in plain English, and if your bank terms are already sharp, we say so and leave you to it.

Tell us about your first deal

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